AD-HOC OPINION · EUROPEAN LUXURY

European Luxury: an ad-hoc opinion on Richemont, LVMH, Hermès and Kering

14 October 2026 · CIO Office, Equity Team · Syz Research

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Where the industry is going: fewer buyers, wider gaps between winners and losers

After a decade of strong growth, luxury has entered a slower phase. The global market for personal luxury goods shrank by about 2% in 2025, to around €358bn, and the number of luxury buyers fell to about 330 million, from 400 million in 2022. Those who left are mostly "aspirational" clients: middle-class shoppers who stretched to buy a bag or a belt when prices were lower.

China, once the engine of the industry, is now a drag. Chinese clients made up about a third of the global market in 2018 and less than a fifth today. New taxes on purchases made abroad and a weak economy hit spending again this summer: at LVMH, sales to Chinese clients fell by about 15% in the third quarter.

The United States has become the main source of growth, supported by wealthy households and strong stock markets. Results now diverge sharply between categories and brands. Jewellery keeps growing fast, while handbags and fashion struggle. Brands that renewed their designers and products are winning clients back; those that relied on logos and repeated price increases are losing them.

What this means for investors. Owning "luxury" as a block no longer works. The companies that hold up have strong momentum in jewellery, a loyal and wealthy clientele, and prices that clients still accept. Richemont is today the clearest example. LVMH, Hermès and Kering all trade close to their lowest levels of the past two years.

What could move the shares

THE DRIVERS

- **China.** Some companies saw an improvement in September, but part of it came from the earlier timing of a holiday. October figures will show whether it lasts.
- **The wealthy American client.** US buyers are now the main growth engine. Their spending follows stock markets, so a market correction is the main risk here.
- **Gold prices.** Higher gold prices allowed jewellers to raise prices. With gold stabilising, this support will be smaller.
- **New designers.** Fresh collections are bringing clients back at Dior and Celine, and Gucci's reset is under way.
- **Price discipline.** Clients increasingly check resale value before buying. Brands that keep their products scarce hold up best.

THE NEXT DATES

- **22 October:** Hermès third-quarter sales.
- **Late October:** Kering third-quarter sales.
- **Early November:** Chinese spending data for October, and Singles' Day on 11 November.
- **Mid-November:** Richemont half-year results (April to September).
- **November to December:** the festive season in the US and Europe.
- **Late January 2027:** LVMH full-year results.

The four companies at a glance

Company	Share price	P/E (expected profits)	Technical trend	Latest sales growth	In a few words
Richemont CFR SW	CHF 173.8	22.9x	**Bullish**	+20% (April to June)	Jewellery leader, fastest growth in the sector
LVMH MC FP	EUR 391.0	16.2x	**Bearish**	+1% (July to September)	Cheap, diversified, fashion under pressure
Hermès RMS FP	EUR 1,310.5	27x	**Bearish**	+6% (January to June)	Highest quality, premium being questioned
Kering KER FP	EUR 213.0	24x	**Bearish**	+1% (January to June)	Turnaround around Gucci, early days

Sales growth at constant exchange rates and scope. The P/E ratio shows how many years of expected profits the share price represents: the higher it is, the more growth the market already expects. Kering's ratio is high because its profits are still depressed.

Richemont

CFR SW

Share price	From the August high	P/E (expected profits)	Next results
CHF 173.8	**–14%**	**22.9x**	**mid-November**

Technical trend	Support	Resistance	Trend would weaken below
Bullish	**CHF 166.2 / 160.3**	**CHF 180.8 / 202.2**	**CHF 167.7**

1. What the company does

Richemont is a Geneva-based luxury group. Its two jewellers, Cartier and Van Cleef & Arpels, make up about 70% of sales and most of the profit. It also owns watchmakers such as IWC, Jaeger-LeCoultre, Piaget and Panerai, and a few fashion brands. About three quarters of sales are made directly to clients, in its own stores and online.

2. Why it could do well

- **The fastest growth among large luxury groups.** Sales reached €6.33bn between April and June, up 20% at constant exchange rates, well above the roughly 11.5% analysts expected. Jewellery grew 24%.
- **Growth in every major region.** Sales rose 27% in the Americas and 21% in Asia-Pacific, with double-digit growth in China, Hong Kong and Macau. Most peers are shrinking in China.
- **Jewellery is a sturdier category.** Clients see a Cartier or Van Cleef piece as something that keeps its value. The best-selling lines change little over decades, so fashion risk is low.

3. What sets it apart

Two of the strongest jewellery brands in the world, with iconic collections sold for decades. The jewellery business earned an operating margin of about 30% last year. The Rupert family controls the group and favours the long term; the group is also slimming its watch portfolio, with Baume & Mercier being sold.

4. Is the share expensive?

More than LVMH, less than Hermès: the share price represents about 23 years of expected profits, against about 16 for LVMH and 27 for Hermès. That premium over LVMH pays for the best growth in luxury. It also means there is little room for disappointment. After reaching a record of CHF 202.2 on 11 August, the share fell back about 14%. Most analysts remain positive, but some consider that the good news is now largely in the price.

5. Main risks

- Gold prices: part of recent growth came from price increases linked to gold. With gold stabilising, this support fades, and gold costs weigh on margins.
- Tougher comparisons: after very strong quarters, even good growth can disappoint the market.
- A stock-market correction in the US would hit the wealthy American buyers who now drive growth.
- A strong Swiss franc reduces the value of sales made in dollars and yuan.

6. What to watch next

Half-year results (April to September) in mid-November: jewellery growth, margins after higher gold costs, the trend in China and the watch business.

Conclusion

Richemont is the strongest company in the sector, both in its business and on the chart. The valuation is high, so the timing of purchases matters. The next page looks at the entry point and at how to manage an existing position.

Richemont: our view on the share

Where is the stock?

The long-term trend is still upward. The share trades above its 200-day average (CHF 167.7), which keeps rising. After its record of CHF 202.2 on 11 August, it fell back to CHF 166.5 in September and CHF 166.2 on 8 October, twice stopping on that average. This looks like a pause within the uptrend rather than a reversal, as long as CHF 160.3 holds. Momentum is neutral and leaves room for a rebound towards CHF 179.9 to 180.8.

Is it a good time to buy?

The setup is more favourable than in the summer. The share has given back about 14% while the business keeps growing fast, and it rests on its long-term support. The valuation remains high, though, so the entry point matters.

For an investor without a position, a gradual approach makes sense: a first part close to the current support (CHF 166 to 174), and the rest either once the share closes above CHF 180.8, which would confirm that the uptrend has resumed, or after the half-year results in mid-November. A close below CHF 160.3 would call this view into question.

How to handle an existing position?

Keeping the position is justified: the business is the strongest in the sector and the chart still supports it. Three levels help manage it:

- **Above CHF 180.8:** the uptrend resumes, with CHF 202.2 as the next objective.
- **Below CHF 167.7:** the trend turns neutral; a good moment to review the size of the position.
- **Below CHF 160.3:** the trend turns negative, and reducing the position becomes reasonable.

After the strong run of recent years, the position may have grown larger than intended. Trimming it back to its target weight is sound discipline, whatever the outlook. The results in mid-November are likely to move the share sharply in either direction.

How does it compare with its peers?

For an investor who wants exposure to luxury today, Richemont is the most direct way to own the category that is growing: jewellery. LVMH is much cheaper but has yet to show a return to growth. Hermès remains the highest-quality name, but its premium is being questioned. Kering is a higher-risk turnaround. The following pages cover each of them.

IN SHORT

Richemont is the quality leader of the sector and its uptrend is intact. The recent pullback offers a better entry point than in the summer, best used gradually given the valuation. Existing positions can be kept, with CHF 167.7 and CHF 160.3 as the levels to watch.

Richemont: technical charts

CFR SW

Chart 1 · Richemont – Price, moving averages and momentum

Daily, log scale · 50-day average (blue), 200-day average (red) · lower panel: stochastic momentum

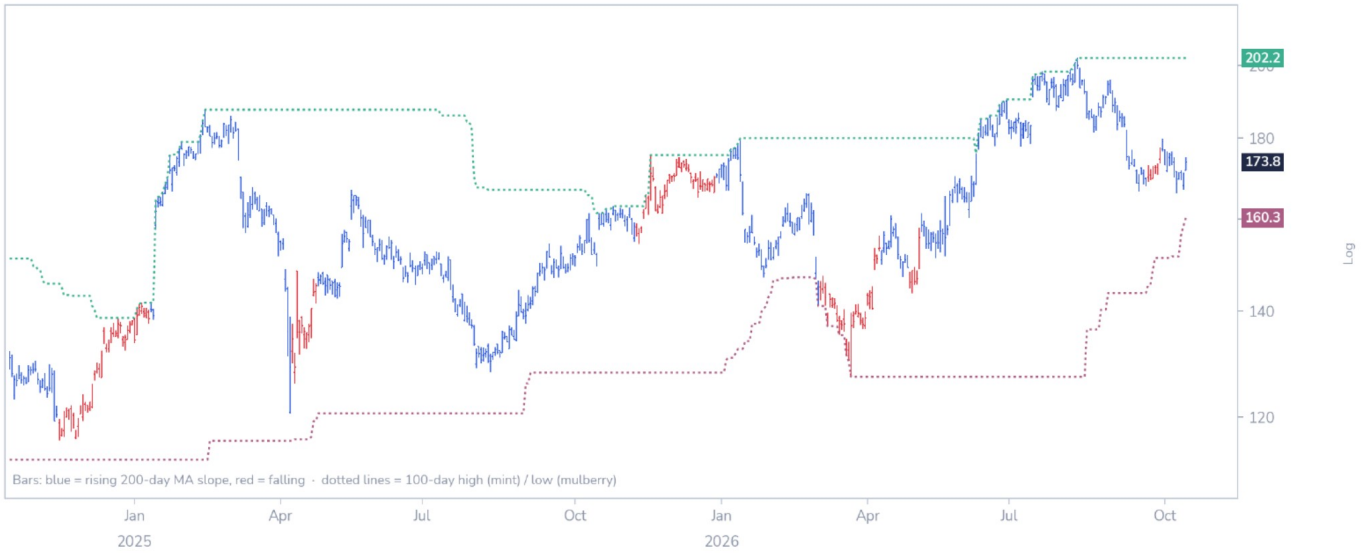


BREAKOUT & MOMENTUM SIGNALS ▲ POSITIVE

The last band broken was the upper band — a new 100-day high at **CHF 202.2** on 11 August 2026, a positive trend signal; the lower band (**CHF 160.3**) has not been broken since 23 March 2026. **Long-term momentum is positive:** the latest bar is blue, so the momentum regime remains constructive.

Chart 2 · Richemont – Trend regime and 100-day range

Daily, log scale · bars coloured by the slope of the 200-day average · dotted lines: 100-day high and low



Top chart: share price with the 50-day average (blue) and the 200-day average (red); the lower panel shows momentum. Bottom chart: bars in blue when the 200-day average is rising, in red when it is falling; the dotted lines show the highest and lowest price of the last 100 days.

SYZ Source: Syz Research, Bloomberg.

LVMH

MC FP

Share price	Third-quarter growth	P/E (expected profits)	Two-year low
EUR 391.0	+1%	16.2x	EUR 375.7

Technical trend	Support	Resistance	Trend would change above
Bearish	EUR 375.7	EUR 423.5 / 441.3	EUR 484.0

1. What the company does

LVMH is the world's largest luxury group, with brands such as Louis Vuitton, Dior, Celine, Loro Piana, Tiffany, Bulgari, Sephora, Moët and Hennessy. Fashion and leather goods are the largest business and earn most of the profit.

2. Why it could do well

- **Other businesses offset fashion.** In the third quarter, Sephora grew 8%, wines and spirits 6%, and watches and jewellery 6%, while fashion and leather goods fell 5%.
- **The US is holding up.** Sales there rose 5%. New collections are working well with American clients at Dior and Celine.
- **Cheap compared with its history and peers.** The share trades at about 16 years of expected profits, the lowest of the four companies in this note.
- **Debt is falling.** Net debt should drop from €18.6bn at the end of 2025 to about €13.5bn at the end of 2026, according to broker estimates.

3. What sets it apart

No other group has such a broad portfolio of brands, or as much weight with landlords, media and talent. Management rules out price cuts and is working on efficiency instead: selling more of what is produced, lowering store costs and renegotiating rents.

4. Is the share cheap?

Yes, but for a reason. Third-quarter growth of 1% was slightly below expectations, and the share fell to its lowest level in two years. In a meeting with management after the results, the group described China as a temporary problem and pointed to an improvement in September. We are more cautious: that improvement was helped by the earlier timing of a holiday. With a third of sales flat, the rest of the group would need to grow about 9% to reach 6% overall. The valuation offers a floor, but a rebound needs proof of growth.

5. Main risks

- China: sales to Chinese clients fell about 15% in the third quarter.
- Louis Vuitton, the most profitable brand, is the weakest, and renewing its core products will take time.
- Margins: management admits they are hard to protect at this level of growth.

6. What to watch next

Chinese spending in October, early signs of renewal at Louis Vuitton, the festive season, and full-year results in late January 2027.

Conclusion

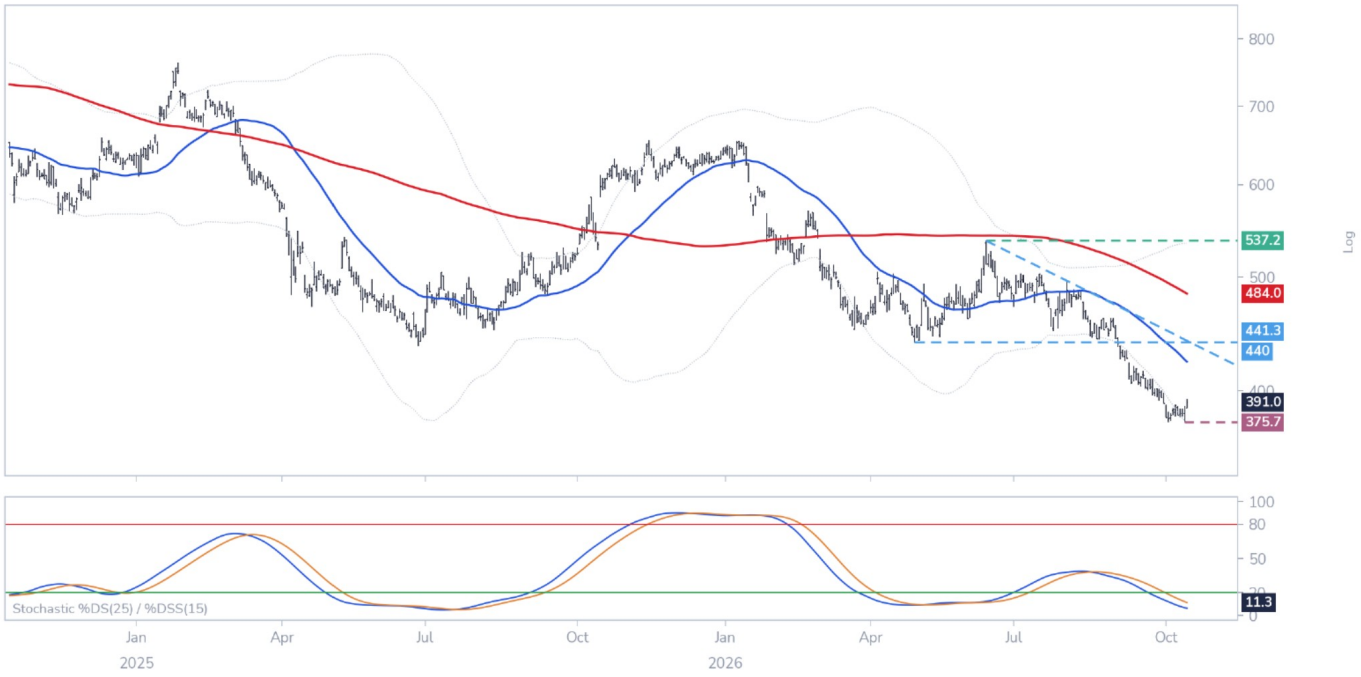
LVMH is cheap, but there is no visible return to growth yet, and the chart remains negative. It is a candidate for later, once China stabilises and Louis Vuitton shows renewal, rather than an alternative to Richemont today.

LVMH: technical charts

MC FP

Chart 1 · LVMH – Price, moving averages and momentum

Daily, log scale · 50-day average (blue), 200-day average (red) · lower panel: stochastic momentum



BREAKOUT & MOMENTUM SIGNALS ▼ NEGATIVE

The last band broken was the lower band — a new 100-day low at **EUR 375.7** on 13 October 2026, a negative trend signal; the upper band (**EUR 537.2**) has not been broken since 13 November 2025. **Long-term momentum is negative:** the latest bar is red, so the momentum regime remains weak.

Chart 2 · LVMH – Trend regime and 100-day range

Daily, log scale · bars coloured by the slope of the 200-day average · dotted lines: 100-day high and low



Top chart: share price with the 50-day average (blue) and the 200-day average (red); the lower panel shows momentum. Bottom chart: bars in blue when the 200-day average is rising, in red when it is falling; the dotted lines show the highest and lowest price of the last 100 days.

SYZ Source: Syz Research, Bloomberg.

Hermès

RMS FP

Share price	First-half growth	P/E (expected profits)	Next sales figures
EUR 1,310.5	+6%	27x	22 October

Technical trend	Support	Resistance	Trend would change above
Bearish	EUR 1,255.0	EUR 1,445.9 / 1,465.5	EUR 1,703.4

1. What the company does

Hermès is a family-controlled Paris house best known for its Birkin and Kelly bags, its silk scarves and its ready-to-wear. Leather goods are its largest business. It deliberately limits production, so its best-known bags are often sold through waiting lists.

2. Why it could do well

- **Still growing in a weak market.** First-half sales reached €8.16bn, up 6% at constant exchange rates, with an acceleration to 7% in the second quarter. Leather goods grew 10%.
- **Strong in the regions that matter now.** Sales rose 15% in the Americas and 11% in Japan.
- **Exceptional profitability.** The operating margin held at about 41% in the first half despite a strong euro, which reduced reported sales by more than €360m.

3. What sets it apart

Scarcity, craftsmanship and family control. Hermès makes most of its products itself and keeps supply below demand. Its iconic bags often resell above their shop price, which supports its pricing power.

4. Is the share expensive?

Hermès has always traded at a large premium: about 27 years of expected profits today, the highest of the four companies in this note. That premium assumed double-digit growth for many years. Growth has slowed to mid-single digits, and in October several brokers turned more cautious, arguing that scarcity is weakening and demand is becoming more cyclical. The share has fallen about 27% since its June high and reached a two-year low of EUR 1,255.0 on 7 October.

5. Main risks

- Asia outside Japan grew only 2% in the first half, and the Middle East declined.
- The premium valuation leaves little room for any further slowdown.
- A strong euro reduces the value of sales made abroad.

6. What to watch next

Third-quarter sales on 22 October: leather goods growth, the trend in Asia, and whether the US remains strong.

Conclusion

Hermès remains the highest-quality company in the sector, but the market is reassessing how much it should pay for slower growth. The chart is negative, although the share is starting to stabilise above EUR 1,255. Waiting for the 22 October figures seems prudent.

Hermès: technical charts

RMS FP

Chart 1 · Hermès – Price, moving averages and momentum

Daily, log scale · 50-day average (blue), 200-day average (red) · lower panel: stochastic momentum



BREAKOUT & MOMENTUM SIGNALS — ▼ NEGATIVE

The last band broken was the lower band — a new 100-day low at **EUR 1255.0** on 7 October 2026, a negative trend signal; the upper band (**EUR 1793.0**) has not been broken since 15 January 2026. **Long-term momentum is negative:** the latest bar is red, so the momentum regime remains weak.

Chart 2 · Hermès – Trend regime and 100-day range

Daily, log scale · bars coloured by the slope of the 200-day average · dotted lines: 100-day high and low



Top chart: share price with the 50-day average (blue) and the 200-day average (red); the lower panel shows momentum. Bottom chart: bars in blue when the 200-day average is rising, in red when it is falling; the dotted lines show the highest and lowest price of the last 100 days.

SYZ Source: Syz Research, Bloomberg.

Kering

KER FP

Share price	First-half growth	Gucci, first half	Net debt, June
EUR 213.0	**+1%**	**–5%**	**€3.3bn**

Technical trend	Support	Resistance	Trend would change above
Bearish	**EUR 203.2**	**EUR 225.1 / 240.7**	**EUR 256.0**

1. What the company does

Kering owns Gucci, Saint Laurent, Bottega Veneta and Balenciaga, as well as jewellers such as Boucheron and Pomellato. Gucci is by far the largest brand and made around 60% of group profit last year. The beauty business was sold to L'Oréal.

2. Why it could do well

- **Back to growth.** Second-quarter sales rose 2%, the first increase in three years. Gucci's decline narrowed from 8% in the first quarter to 2% in the second.
- **Much less debt.** Net debt fell from €8bn at the end of 2025 to €3.3bn in June, thanks to the beauty sale and a property deal.
- **A clear recovery plan.** The new chief executive, Luca de Meo, aims to more than double the operating margin from 11%, cut inventory by €1bn and close about 100 stores this year.
- **Jewellery is growing fast,** up about 20% in the first half, led by Boucheron.

3. What sets it apart

If the recovery works, Kering has the most room to improve in the sector: its margin of 12.8% in the first half is far below its peers. Demna, Gucci's new designer, is resetting the brand around leather goods.

4. Is the share cheap?

Not really. The share price represents about 24 years of expected profits, more than Richemont, because profits are still depressed. The share price is a bet on Gucci's recovery: Gucci's sales have nearly halved in three years. The plan sets no precise sales or margin targets for 2026 and 2027, which makes progress harder to measure. Analysts remain largely cautious.

5. Main risks

- A brand reset like Gucci's usually takes years, and the first collections may disappoint.
- Store closures and lower stock reduce sales before they improve margins.
- Gucci relies more than its peers on the aspirational client who is leaving the market.

6. What to watch next

Third-quarter sales in late October, especially Gucci's trend, and how clients receive Demna's first collections in stores.

Conclusion

Kering has made real progress on debt and costs, but Gucci is not growing yet and the share has broken below its May low. It suits only investors who accept a high level of risk. Signs that Gucci is growing again would be the trigger to look again.

Kering: technical charts

KER FP

Chart 1 · Kering – Price, moving averages and momentum

Daily, log scale · 50-day average (blue), 200-day average (red) · lower panel: stochastic momentum

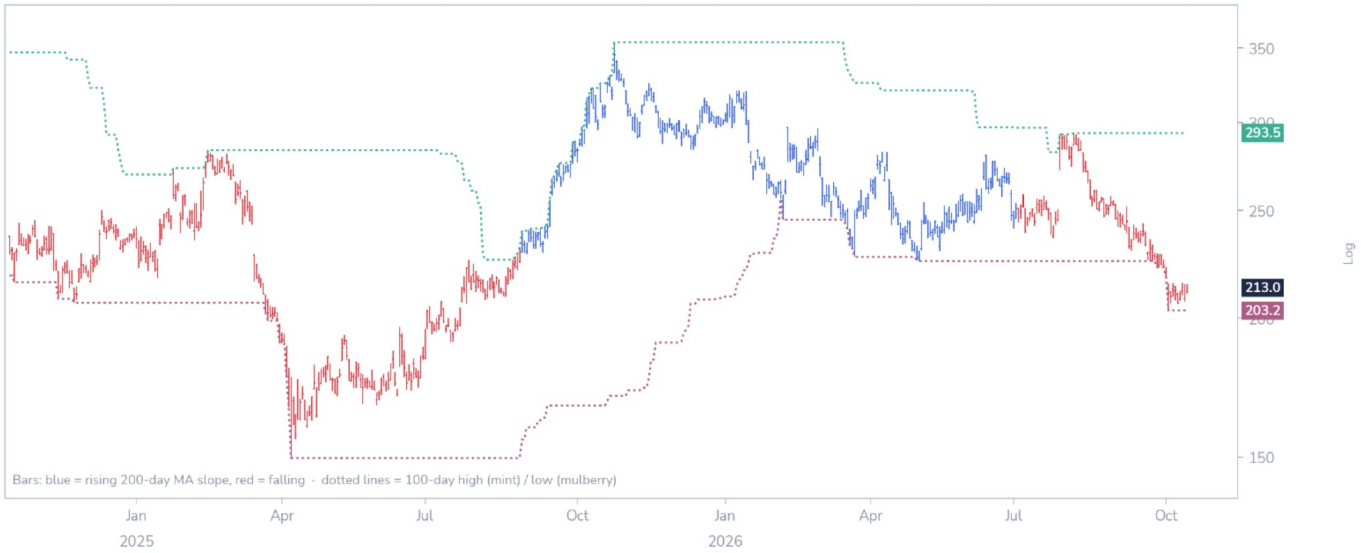


BREAKOUT & MOMENTUM SIGNALS ▼ NEGATIVE

The last band broken was the lower band — a new 100-day low at **EUR 203.2** on 2 October 2026, a negative trend signal; the upper band (**EUR 293.5**) has not been broken since 6 August 2026. **Long-term momentum is negative:** the latest bar is red, so the momentum regime remains weak.

Chart 2 · Kering – Trend regime and 100-day range

Daily, log scale · bars coloured by the slope of the 200-day average · dotted lines: 100-day high and low



Top chart: share price with the 50-day average (blue) and the 200-day average (red); the lower panel shows momentum. Bottom chart: bars in blue when the 200-day average is rising, in red when it is falling; the dotted lines show the highest and lowest price of the last 100 days.

SYZ Source: Syz Research, Bloomberg.

Sources

Market data, prices, valuation ratios and technical levels: Bloomberg, as of 14 October 2026 (intraday).

Company information: published results and investor relations websites of Compagnie Financière Richemont SA, LVMH Moët Hennessy Louis Vuitton SE, Hermès International SCA and Kering SA; meeting with LVMH management following the third-quarter 2026 results.

Industry data: Bain & Company and Altagamma.

Technical analysis: Syz Research, Bloomberg.

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